



Global Leader in the ER&D Segment with strong visibility and industry leading margins

Tata Elxsi reported a robust Q3FY22 performance as reported EBIT margins were a strong beat on our estimates while revenue was largely in line with our estimates

- INR revenue came in at INR 6,354 Mn, +6.7% qoq / +33.2% yoy and -0.7% below our estimates
- EBITDA was reported at INR 2,108 Mn, +14.8% qoq / +46.8% yoy and +6.2% above our estimates
- EBITDA margins stood at 33.2%, vs 30.8% / 30.1% in Q2FY22 / Q3FY21 respectively and was above our estimate of 31%.
- PAT came in at INR 1,510 Mn, +20.5% qoq / +43.5% yoy and +5.6% above our estimates
- EPS at INR 24.2 in Q3FY22 vs 20.1 / 16.9 in Q2FY22 / Q3FY21 respectively
- Industry-wise Growth was led by Healthcare & Medical Devices at 20.7% qoq / 31.2% yoy, followed by Transportation at 9.7% qoq / 71.5% yoy
- Services-wise: Growth was driven by EPD segment (88.9% of revenue) at 9.6% qoq / 35.4% yoy. Industrial Design & Visualization (8.9% of revenue) and SI (2.2% of revenue) declined -15.4% qoq and -2.4% qoq respectively.

Industry-wise:

- Transportation (41.4% of revenue) grew 10% qoq / 35% yoy
- Media & Comms (43.7% of revenue) grew 7% qoq / 32% yoy
- Healthcare (14.9% of revenue) grew 22% qoq / 92% yoy

Services-wise:

- Embedded Product Design (EPD) (89% of revenue) business grew 10% qoq and 34% yoy
- Industrial Design & Visualization business (9% of revenue) reported a de-growth of 15% qoq and growth of 29% yoy

Top Accounts:

- Top account (14% of revenue) grew 17% qoq / 64% yoy
- Top 5 accounts (38% of revenue) grew 11% qoq and 43% yoy
- Top 10 accounts grew 4% qoq / +32% yoy

Geographical Trends:

- North America (42% of topline) grew 9% qoq / 56% yoy
- Europe (33% of revenue) grew 5% qoq / 20% yoy
- India (17% of revenue) grew 9% qoq / 71% yoy
- ROW (8% of rev) grew at 1% qoq / -24% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	16,099	18,261	24,710	31,309	35,059
EBITDA	3,430	5,224	7,593	9,597	10,711
Adjusted net profit	2,571	3,687	5,403	7,200	8,048
Free cash flow	2,186	4,174	4,555	6,728	7,526
EPS (Rs)	41.3	59.2	86.8	115.6	129.2
growth (%)	-11%	43%	47%	33%	12%
P/E (x)	169.1	117.9	80.4	60.4	54.0
P/B (x)	39.9	32.1	25.9	20.6	16.8
EV/EBITDA (x)	143.2	89.3	60.0	47.5	42.1
D/E	0.1	0.1	0.0	0.0	0.0
ROCE (%)	26.9	27.2	33.6	38.2	34.6
RoE (%)	24.1	26.9	33.3	35.4	32.0
Dividend yield (%)	0.2	0.7	0.5	0.7	0.7

Source: Company

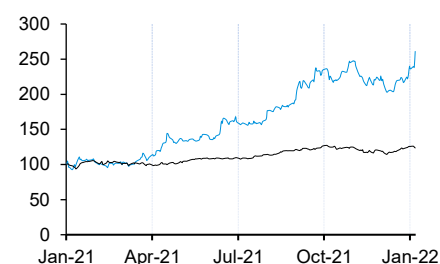
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	7,107	2

Market data

Current price	Rs	6,977
Market Cap (Rs.Bn)	(Rs Bn)	434
Market Cap (US\$ Mn)	(US\$ Mn)	5,822
Face Value	Rs	10
52 Weeks High/Low	Rs	7171 / 2,392
Average Daily Volume	('000)	288
BSE Code		500408
Bloomberg		TELX.IN

Source: Bloomberg

One Year Performance



— Tata Elxsi Ltd — Nifty Index

Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	44.32	44.53
Public	55.68	55.47
Total	100	100

Source: BSE

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Conference Call KTAs

- Growth was entirely volume led
- Confident of sustaining growth over the next 8 quarters as per current state of pipeline and deal wins
- Design led offerings are providing differentiations which are also aiding margins
- Project halt by customer (in Top 6 – 10 customers) in IDV which impacted Q2 and Q3, confident of resuming project in next few quarters. IDV is critical to the organization as it has aided in winning many higher margin EPD deals
- Added 500 freshers during Q3 and will continue over the next 2-4 quarters
- Entering Q4 with a strong order book and pipeline
- Margin expansion was due to focus on higher margin deals and better revenue mix, better operational efficiency, higher utilization at 83%
- 20% of transportation should come from adjacencies like CV and Railway over the next few years
- Top customer growth due to deeper mining, large deal wins and ramp up of those deals
- ER&D spend is the fastest growing among various tech subsegments as importance of connectivity and data across industries has increased massively

Quarterly Performance Analysis

Exhibit 1

YE March (Rs mn)	Q3 FY22	Q2 FY22	Q-o-Q change %	Q3 FY21	Y-o-Y change %	Q3 FY22 Est.	Deviation %
Revenues (INR)	6,354	5,953	6.7%	4,771	33.2%	6,399	(0.7%)
Cost of Raw Material	223	303	(26.5%)	218	2.1%	256	(12.9%)
Gross Profit	6,131	5,650	8.5%	4,553	34.7%	6,143	(0.2%)
Direct Costs	4,023	3,814	5.5%	3,117	29.1%	4,159	(3.3%)
EBITDA	2,108	1,836	14.8%	1,436	46.8%	1,984	6.3%
Depreciation & Amortisation	140	135	4.0%	111	27.0%	145	(3.2%)
EBIT	1,968	1,701	15.7%	1,326	48.5%	1,839	7.0%
Other Income, net	65	24	167.8%	151	(56.8%)	128	(49.1%)
Interest Paid	30	16		13		16	
PreTax Income	2,033	1,726	17.8%	1,476	37.7%	1,967	3.4%
Adjusted Pretax Income	2,003	1,710	17.1%	1,463	36.9%	1,951	
Tax	494	457	8.1%	411	20.2%	521	
Share of Minority Interest							
Net Profit	1,510	1,253	20.4%	1,052	43.4%	1,430	5.6%
Adjusted Net Profit	1,510	1,253	20.4%	1,052	43.4%	1,430	5.6%
Diluted EPS (Rs)	24.2	20.1	20.4%	16.9		23.0	
Adjusted Diluted EPS	24.2	20.1	20.4%	16.9		23.0	5.6%
No.of Shares (mn) - Diluted	62	62		62		62	
Margin Analysis (%)			Change in bps	Change in bps			
EBIT Profit Margin (%)	31.0%	28.6%	239	27.8%	319	28.7%	224
EBITDA Margin (%)	33.2%	30.8%	234	30.1%	308	31.0%	218
Net Profit Margin (%)	23.8%	21.1%	270	22.1%	170	22.3%	141
Adjusted NPM (%)	23.8%	21.1%	270	22.1%	170	22.3%	141
Effective Tax rate (%)	24.3%	26.5%	(218)	27.8%	(353)	26.5%	(221)
Cost Analysis (%)			Change in bps	Change in bps			
Direct cost as % of Sales	3.5%	5.1%	(158)	4.6%	(107)	4.0%	(49)
SG&A as % of Sales	63.3%	64.1%	(75)	65.3%	(201)	65.0%	(169)

Tata Elxsi reported a strong growth for the 6th straight quarter driven by a broad-based growth across industries and verticals.

Industrial Design vertical degrew qoq due to deferral of a project. Management expects to resume that project in the next few quarters.

Management has indicated that H1FY22 average EBITDA margins of 28.9% are sustainable in the long term.

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Tata Elxsi is currently trading at 59.4x / 54x FY22e / FY23e EPS. Q3FY22 was the 6th consecutive quarter of robust performance. Tata Elxsi is the biggest beneficiary of the current upcycle in ER&D spend due to client industries preferring higher connectivity, digital transformation and data engineering

Management's commentary on strong order-book, healthy pipeline and sustainability of growth momentum for next 8 quarters alleviates uncertainties about whether current run-rate can be maintained.

We expect the topline to grow at 24% CAGR between FY21 to FY24e and EBITDA margins to sustain at 30%+ between FY22e to FY24e. We believe that valuations will remain at elevated levels due to the high growth nature of the industry coupled with leading execution and performance by Tata Elxsi amongst peers

Therefore, we revise our rating from SELL to BUY on Dips and increase the target multiple to 55x (earlier 50x) FY24E EPS to arrive at a target price of INR 7,107.

Financial

YE March (Rs. mn)	Profit & Loss A/c				
	FY20	FY21	FY22E	FY23E	FY24E
Total Revenue	16099	18261	24710	31309	35059
Less:					
Cost of Sales	811	870	1366	1799	1402
Personnel Expenses	9509	10245	12842	15686	18345
Admin and Selling Expense	2349	1922	2908	4228	4600
Total Operating Expend	12669	13037	17116	21713	24348
EBIDTA	3430	5224	7593	9597	10711
Less: Depreciation	434	444	545	783	876
EBIT	2996	4780	7048	8814	9835
Growth Yo-Y (%)	-23%	60%	47%	25%	12%
Non-operating Income	584	398	334	861	964
Profit Before tax	3524	5119	7290	9554	10679
Tax	954	1432	1887	2354	2631
Net Profit	2571	3687	5403	7200	8048
Adjusted Profit	2571	3687	5403	7200	8048
Growth Yo-Y (%)	-11%	43%	47%	33%	12%
EPS	41.3	59.2	86.8	115.6	129.2
Growth Yo-Y (%)	-11%	43%	47%	33%	12%
EBITDA Margin (%)	21%	29%	31%	31%	31%
EBIT Margin (%)	19%	26%	29%	28%	28%
PAT Margin (%)	16%	20%	22%	23%	23%

YE March (Rs. mn)	Valuation Ratios				
	FY20	FY21	FY22E	FY23E	FY24E
P/E (x)	169.1x	117.9x	80.4x	60.4x	54.0x
P/BV (x)	39.9x	32.1x	25.9x	20.6x	16.8x
EV/EBIDTA (x)	143.2x	89.3x	60.0x	47.5x	42.1x
EV/Sales	26.6x	23.4x	17.1x	13.4x	11.8x
Market Cap./ Sales (x)	27.0x	23.8x	17.6x	13.9x	12.4x
Dividend Yield (%)	0.2%	0.7%	0.5%	0.7%	0.7%

YE March (Rs. mn)	Key Ratios				
	FY20	FY21	FY22E	FY23E	FY24E
Key Operating Ratios					
EBIT Margin (%)	18.6%	26.2%	28.5%	28.2%	28.1%
Tax / PBT (%)	27.1%	28.0%	25.9%	24.6%	24.6%
Net Profit Margin (%)	16.0%	20.2%	21.9%	23.0%	23.0%
RoE (%)	24.1%	26.9%	33.3%	35.4%	32.0%
RoCE (%)	26.9%	27.2%	33.6%	38.2%	34.6%
Current Ratio (x)	5.5x	5.3x	6.2x	6.0x	6.7x
Dividend Payout (%)	40.0%	81.1%	40.0%	40.0%	40.0%
Book Value Per Share (Rs.)	175.0	217.1	269.2	338.6	416.2

Growth Indicators %					
Growth in Gross Block (%)	10.1%	14.8%	18.8%	15.8%	13.7%
Sales Growth (%)	0.8%	13.4%	35.3%	26.7%	12.0%
EBITDA Growth (%)	-23.2%	59.6%	47.4%	25.0%	11.6%
Net Profit Growth (%)	-11.4%	43.4%	46.6%	33.3%	11.8%
Diluted EPS Growth (%)	-11.4%	43.4%	46.6%	33.3%	11.8%

YE March(Rs. mn)	Balance Sheet				
	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	623	623	623	623	623
Reserves & Surplus	10278	12899	16142	20465	25295
Equity	10900	13522	16765	21087	25918
Net Worth	10900	13522	16765	21087	25918
Total Loans	816	1001	164	204	228
Capital Employed	11716	14522	16929	21292	26146
Assets					
Gross Block	1620	1859	2209	2559	2909
Less: Depreciation	797	999	1544	2327	3203
Net Block	823	860	665	232	-294
Capital WIP	9	73	49	64	79
Investments	168	1224	241	271	301
Intangible Assets	129	186	139	139	139
Others - A	748	911	186	186	186
Current Assets					
Sundry Debtors	3924	4023	5077	6176	6916
Cash and Bank Balance	6642	8596	12032	16425	21341
Other Current Assets	1420	1285	1538	1803	1953
Total Current Assets	12012	13914	18683	24449	30260
Less:Current Liabilities & Provisions					
Sundry Creditors	471	561	938	1428	1601
Total Current Liabilities & Provisions	2174	2645	3035	4050	4526
Capital Applied	11716	14522	16929	21292	26146

YE March	Cash Flow Statement				
	FY20	FY21	FY22E	FY23E	FY24E
PAT	2,571	3,687	5,403	7,200	8,048
Less: Non Operating Income	-584	-398	-334	-861	-964
Add: Depreciation	434	444	545	783	876
Tax Adjustment					
Operating Profit before WC Changes	2,476	3,792	5,707	7,242	8,080
Net Cash Generated From Operations	2,334	4,316	4,764	6,885	7,660
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-149	-239	-350	-350	-350
Net Cash Flow from Investing Activities	-154	-1,202	1,754	451	554
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	678	185	-837	41	24
Dividend Paid	1028	2989	2160	2878	3217
Net Cash Flow from Financing Activities	-419	-2,864	-3,089	-2,958	-3,313
Net Inc/(Dec) in cash equivalents	1,761	250	3,429	4,378	4,901
Opening Balance	5,158	6,642	8,596	12,032	16,425
Closing Balance Cash	6,919	6,892	12,025	16,410	21,326

YE March	Free Cash Flow Statement				
	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	3,430	5,224	7,593	9,597	10,711
Add: Depreciation Tax Shield	117	124	141	193	216
Working Capital Changes	-259	496	-943	-358	-420
Less: Inc in FC Investment	-149	-239	-350	-350	-350
Taxes Paid	-954	-1,432	-1,887	-2,354	-2,631
Total Free Cash Flows	2186	4174	4555	6728	7526

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